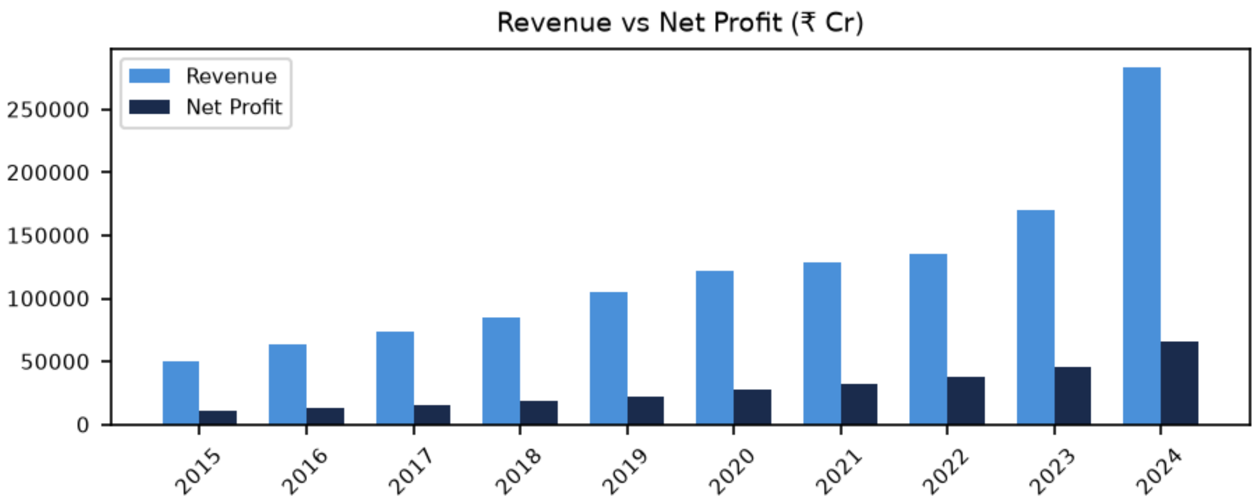
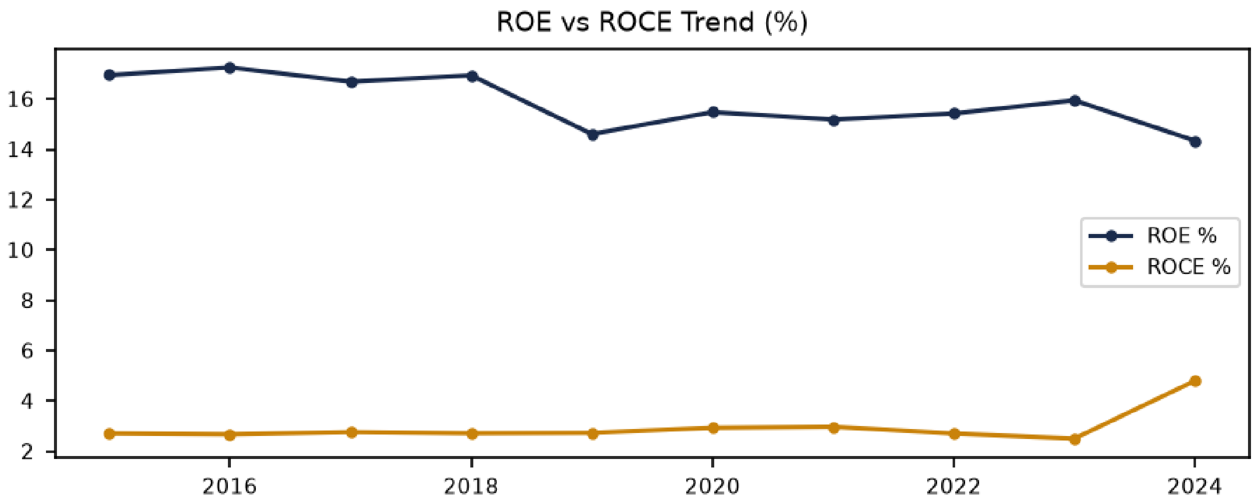
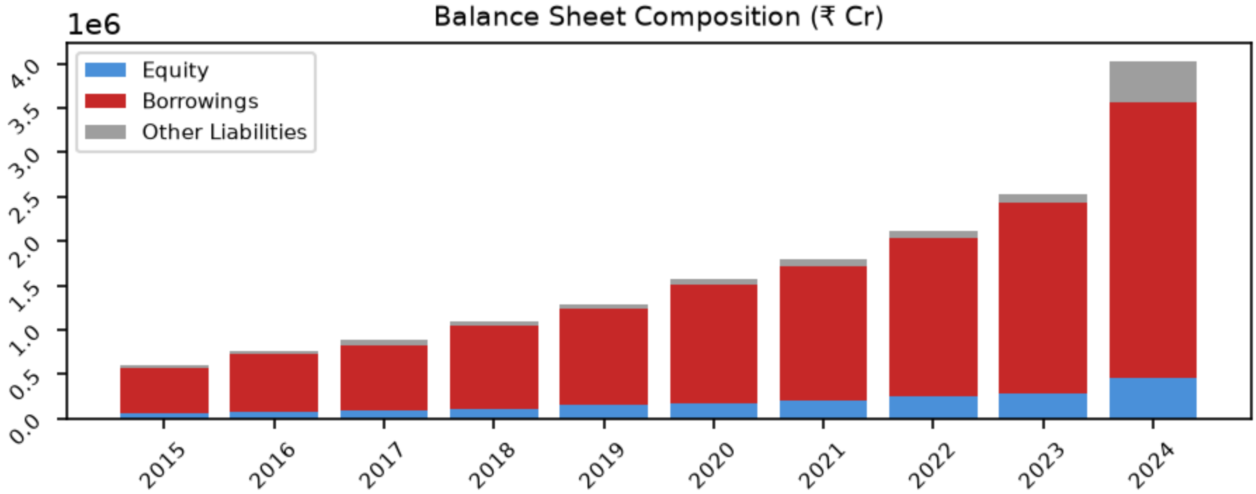
HDFC Bank Ltd

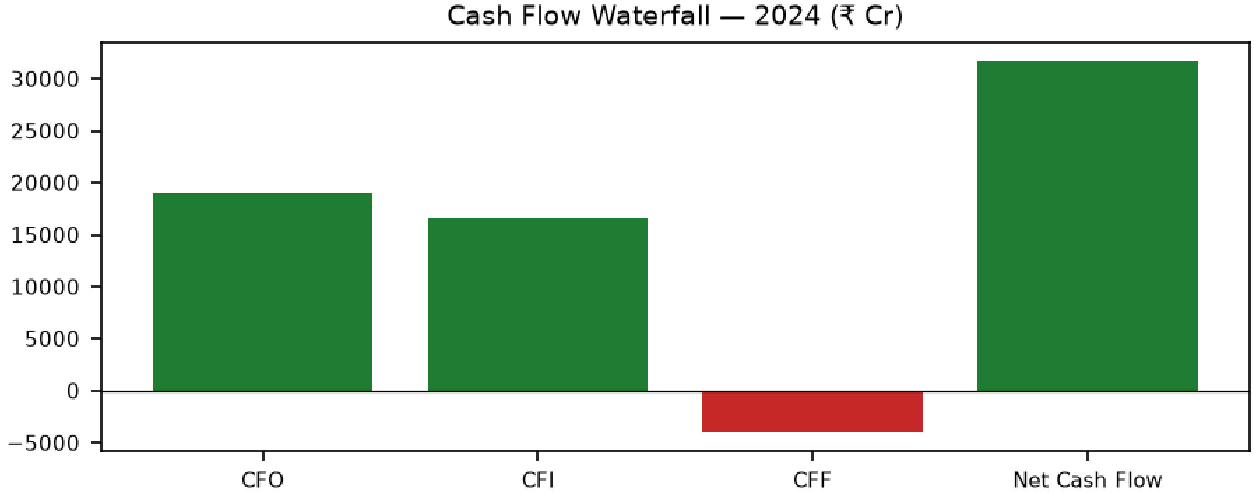
HDFCBANK · Financials

ROE 14.3%	ROCE 4.8%	Net Profit Margin 23.1%
Debt-to-Equity 6.81	Revenue CAGR (5yr) 21.9%	Free Cash Flow ■35,669 Cr









Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Consistent dividend yield above 2% backed by positive free cash flow

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Shareholder Returns